invested in HDFC gold ETFs and Goldman Sachs Gold Funds.

- Keep investing in gold at regular intervals and then stay invested because gold in your portfolio is a hedge against inflation. Its price will keep you at par with the depreciated value of money based on inflation.
- After about 40 months on my journey, I could relate rough patterns in gold price trends. Gold prices also have their own significant peaks and troughs if you ignore the day today price fluctuations. In the long run (spanning 3–4 years), gold has always stayed at par with inflation, but careful study of short-term patterns i.e., over a few months, is very interesting. Once you understand those patterns, you can utilize them to your advantage to maximize your returns from gold.
- It is almost always worth buying gold on dips. If the gold price has come down by more than 10% of the average cost price at which you are holding the gold ETFs, it is almost always worthwhile to buy more. This is unlike the case of stocks where the stock price depends on the "inherent value" of the stock and performance of the company whose stocks you are holding. To me, gold is much more predictable and I am assured that in the long run, it will give me returns which are at least equal to the rate of inflation.
- Gold prices normally fluctuate inversely as compared to the overall economic outlook and stock prices. The reasons are not difficult to understand. Once you have experienced this trend for yourself, it becomes much easier to take decisions regarding buying and selling gold. This is not an iron clad rule but I have found it to be mostly true in my experience. You must take an informed decision only after you have seen and experienced this. 2011 was one of the toughest years for the world economy with the economic slowdown in the US and China, the Euro-zone crisis, high inflation and rupee depreciation in India. Due to all these factors, I realized stock returns of just 5.7% in 2011 but at the same time, my knowledge on gold and its correlation with stocks allowed me to reap and realize returns from gold investments of more than 56%!. This proves the value of diversification.